Quaker Chemical Corporation

Discounted Cash Flow Valuation

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Company Overview

Company Highlights

- **History:** Founded in 1918, Quaker Chemical Corporation became Quaker Houghton following its transformative merger with Houghton International in 2019, establishing a global leader in industrial process fluids.
- **Valuation:** KWR has gained approximately 17% over the past year, reflecting market expectations of continued earnings growth, margin improvement, and potential expansion through strategic acquisitions.
- **Strategy:** The Company focuses on organic growth through customer retention, R&D-driven innovation, operational efficiency, and strategic acquisitions.
- **Corporate Finance Transactions:** In 2019, Quaker Chemical Corporation merged with Houghton International. In April 2025, the Company acquired Dipsol Chemicals for approximately $155.5M, net of cash acquired.
- **Ownership:** Publicly traded company with significant institutional ownership, including Gulf Hungary Holding, BlackRock, and Vanguard.

Trading Comparables	EV / EBITDA	EV / Revenue	P/E
FUCHS SE	9.09x	1.40x	16.67x
Yushiro Chemical Industry	4.05x	0.66x	10.06x
Henkel	9.66x	1.57x	16.78x
Innospec	12.56x	1.22x	20.25x
Peer Median	9.38x	1.31x	16.74x
Quaker Houghton	12.67x	1.73x	27.67x

Net Sales (LTM Q2 2026)

Revenue Mix	%	Net Sales *($ M)*
Americas	45%	$880.8
EMEA	29%	$579.4
Asia / Pacific	26%	$515.1

Key Metrics	Unit
Customers Served	15,000+
Countries Served	100+
Manufacturing Locations	36
Employees	4,700
R&D / Revenue	3.0%
Net Sales*	$1975

* Defined as LTM Q2 2026

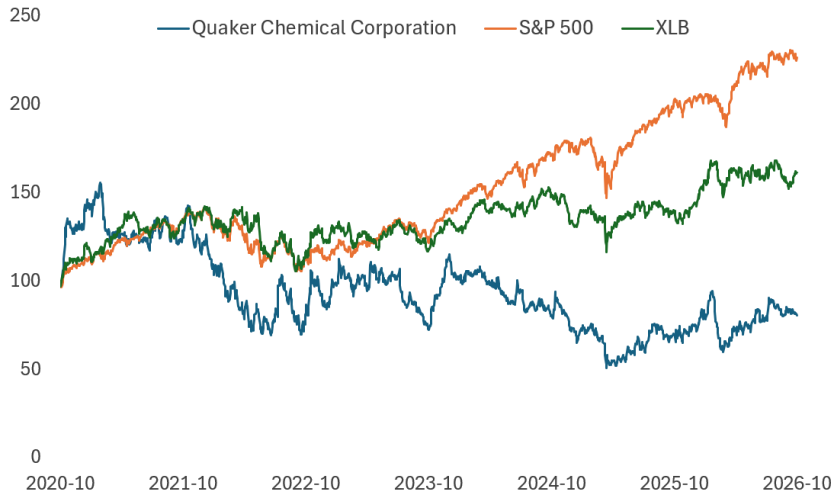
Valuation & Share Performance

Key Valuation Statistics *(USD M)*

Enterprise Value	$3,421	Revenue (LTM Q2 '26)	$1975
Market Cap	$2,703	EBITDA (LTM Q2 '26)	$270
P/E*	28x	EBITDA Margin	14%
EV/EBITDA*	13x	Debt / EV	26%
Cash	$155	Total Debt	$873

*P/E and EV/EBITDA are based on LTM Q2 2026

Share Price	Current: **$157.09**	52-Week High/Low: **$183.00** / **$112.18**



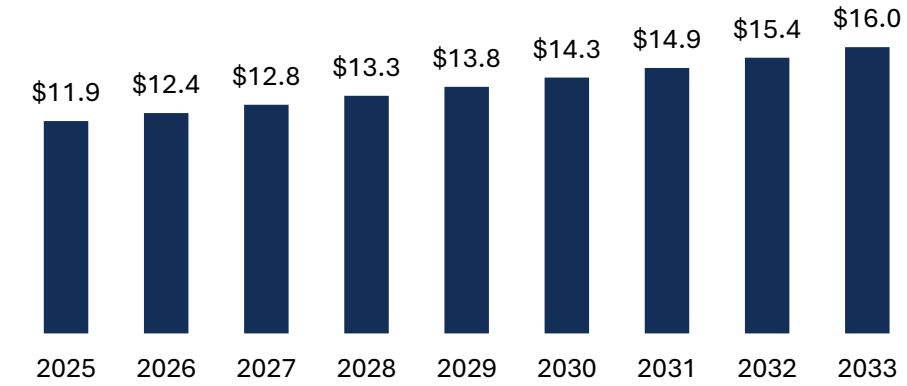
Industry Overview

Industrial markets are expected to grow 1–3% annually, while specialized fluid markets benefit from electrification, sustainability initiatives, and advanced manufacturing.

Industrial Process Fluids – Market Dynamics	
Market Growth	1–3% annual long-term growth
Demand Drivers	Industrial production activity across steel, aluminum, automotive and manufacturing
Competitive Landscape	Global specialty chemical suppliers and regional fluid manufacturers
Barriers to Entry	Technical expertise, customer qualification, specialized formulations and on-site service
Margin Drivers	Raw material costs, pricing power, product mix and operational efficiency

Key Industry Growth Trends	
Electrification	Evolving automotive fluid requirements
Sustainability	Demand for environmentally improved formulations
Automation	Advanced manufacturing and fluid management

(USD B) 2025-2033E CAGR : 3.8%



Source: Grand View Research; intermediate years estimated using reported CAGR.

Market Outlook

The global metalworking fluids market is expected to grow steadily through 2033, driven by advanced manufacturing and sustainable solutions. Asia-Pacific accounted for approximately 42% of the market in 2025, highlighting its significance in global industry demand.

Valuation Results

DCF Valuation Summary	
PV of Forecast UFCF	$762
PV of Terminal Value	$2,606
Enterprise Value	$3,368
Net Debt	$718
Non-controlling Interest	$3
Equity Value	$2,646
Implied Share Price	$152.99

Market Comparison	
Current Share Price	$157.09
DCF Implied Share Price	**$152.99**
Upside / Downside	**(2.61%)**
Market Capitalization	$2,700
DCF Equity Value	**$2,646**

Market price as of October 27, 2026; financial statements as of June 30, 2026.

Investment Takeaway

Our DCF yields an implied share price of $152.99, representing 2.6% downside to the $157.09 reference price, suggesting that Quaker Houghton is trading broadly in line with its intrinsic value under our base-case assumptions.

DCF Sensitivity Analysis – Implied Share Price (USD)					
WACC / TGR	1.5%	2.0%	2.5%	3.0%	3.5%
7.99%	$158.96	$172.77	$189.09	$208.69	$232.65
8.49%	$144.30	$155.95	$169.53	$185.60	$204.88
8.99%	$131.60	$141.53	$152.99	$166.36	$182.17
9.49%	$120.50	$129.05	$138.82	$150.10	$163.25
9.99%	$110.71	$118.13	$126.54	$136.16	$147.26

Terminal value represents approximately 77% of enterprise value, highlighting the importance of long-term growth and discount rate assumptions.

Valuation Assumptions & Rationale

Key Assumption	Base Case	Rationale
Revenue Growth	3.5%	Conservative growth assumption based on the company's outlook of 1–3% annual market growth and 2–4 percentage points of above-market growth potential.
Annual EBIT Margin Expansion	37.5 bps	Assumes gradual margin improvement through operational efficiencies, manufacturing network optimization and operating leverage.
Normalized Tax Rate	28%	Based on normalized effective tax rates of approximately 28–29% disclosed in the company's 2023–2025 financial filings.
D&A / Revenue	4.9%	Based on the average D&A-to-revenue ratio from 2020–2027E, incorporating historical results and existing financial estimates.
CapEx / Revenue	2.75%	Based on recent capital expenditure levels, with a normalized assumption slightly below the ~3% of revenue recorded in 2025.
NWC / Revenue	26%	Based on the 2020–2025 average operating net working capital as a percentage of revenue.
WACC	8.99%	CAPM-based cost of equity (10-year U.S. Treasury, levered beta and ERP), combined with after-tax cost of debt.
Terminal Growth Rate	2.5%	Assumes sustainable long-term nominal growth consistent with mature industrial market expectations.

Sources: Quaker Houghton Investor Presentation (June 2026); Company SEC filings; financial model.

Forecast Methodology

2026E–2027E reflect existing financial estimates, while 2028E–2030E are projected using normalized operating assumptions. UFCF is discounted using WACC, with terminal value calculated through the perpetuity growth method.

Investment Conclusion & Recommendations

Valuation Conclusion

Neutral / Fairly Valued

Our DCF implies a share price of **$152.99**, representing **2.6% downside** to the $157.09 reference price. This suggests Quaker Houghton is trading broadly in line with its intrinsic value under the base-case assumptions.

Strategic Recommendations

01

Organic Growth

New customer wins, cross-selling and specialty applications

02

Margin Improvement

Cost reductions, manufacturing efficiencies and pricing

03

Cash Flow Discipline

Working capital optimization and selective investment

Valuation Considerations

Terminal Value Dependence: Approximately 77% of enterprise value is attributable to terminal value, increasing sensitivity to WACC and long-term growth assumptions.

Execution Risk: Valuation depends on achieving projected margin improvements amid industrial demand uncertainty and raw material cost volatility.

Final Takeaway: At current market prices, Quaker Houghton offers limited valuation upside, with future value creation dependent on successful execution of its growth and margin improvement initiatives.